THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO SECONDARY SCHOOL

FORM FOUR PRE-MOCK EXAMINATION
062 BOOK KEEPING

Time: 3 Hours **April, 2025**

Instructions

1. This paper consists of sections A, B and C with a total of **nine (9)** questions.
2. Answer **all** questions in **all** sections.
3. Non-programmable calculators may be used.
4. Cellular phones and any unauthorized materials are not allowed in the examination room.
5. Write your **Examination Number** on every page of your answer booklet(s).

SECTION A (16 MARKS)

Answer **all** questions in this section

1. For each of the items (i) – (x), choose the correct answer from among the given alternatives and write its letter in the answer booklet(s) provided.

(i) How can you describe the goods bought for resale but remain unsold to the end of the financial year?
   A. Returns inwards
   B. Returns outwards
   C. Closing stock
   D. Opening stock
   E. Surplus

(ii) How much will be the amount of opening balance if credit sales was TZS 740,000, receipt from debtors TZS 1,000,000, interest on overdue TZS 100,000, bad debts TZS 40,000, discount allowed TZS 100,000 and closing balance TZS 200,000?
   A. TZS 50,000
   B. TZS 620,000
   C. TZS 660,000
   D. TZS 500,000
   E. TZS 540,000

(iii) Seypalm Secondaary School manager purchases stationeries on credit from Humoo. What is the correct entry for this transaction?
   A. Debit stationeries a/c, credit Humoo a/c
   B. Debit purchases a/c, credit Humoo a/c
   C. Debit Humoo a/c, credit stationeries a/c
   D. Debit cash a/c, credit stationeries a/c
   E. Debit stationeries a/c, credit cash a/c

(iv) If a stock at the end of the year is overcast, then net profit for the year will be:
A. Not affected
B. Only affected next year
C. Overstated
D. Understated
E. Started clearly

(v) Given the cost of goods sold as TZS 1,200,000 and gross profit of TZS 400,000. What is the percentage of margin?
A. 52% B. 23% C. 25%
D. 50%
E. 33 1/3 %

(vi) Given a cash float TZS 1,500,000. If TZS 1,200,000 was spent in the period, how much will be reimbursed at the end of that period?
A. TZS 1,500,000
B. TZS 2,700,000
C. TZS 1,200,000
D. TZS 200,000
E. TZS 300,000

(vii) Which is the correct statement about the starting and ending dates of the government financial year in Tanzania?
A. Starts on 1st July and ends on 30th June of the following year
B. Starts on 30th July and ends on 1st June of the following year
C. Starts on 1st January and ends on 31st December of the same year
D. Starts on 1st July and ends on 1st June of the following year
E. Starts on 30th January and ends on 30th June of the following year

(viii) You as a book-keeping student, identify the correct statement from the following rows:

	Assets (TZS)	**Liabilities (TZS)**	**Capital (TZS)**
A.	9,460	2,680	6,780
B.	7,390	1,140	6,250
C.	6,120	2,410	4,630
D.	8,970	3,580	5,390
E.	14,500	4,500	10,000

(ix) When cash is paid into a bank, the effect is:
A. Assets of cash increase while assets of bank decrease
B. Assets of the business increase while liabilities decrease
C. Assets of the bank increase while cash decrease
D. Non-current assets decrease
E. Capital of the business increase

(x) As a competent student in book keeping, identify the set for journals.
A. Cash book, General journal, Purchases ledger
B. Purchases day book, sales return day book and sales ledger

C. Sales day book, cash book, purchases journal
D. Cash book, general ledger, purchases ledger
E. Sales ledger, purchases ledger and general ledger

2. Match the descriptions of the types of audits in column A with their corresponding names in column B by writing the letter of the correct response beside the item number in the answer booklet(s) provided.

COLUMN A		COLUMN B
(i)	The aim is to ensure that the internal control system is efficient and effective	A. Interim audit B. Statutory audit C. Financial audit D. Management audit E. Final audit F. Internal audit G. Complete audit H. Standard audit
(ii)	The aim is to ascertain whether the client's accounting system complies with the standards set by the accounting authority.	
(iii)	It is conducted to cover a certain date within a financial year, either quarterly or half-yearly	
(iv)	The audit which must be conducted as per the requirement of the company's law	
(v)	It is a comprehensive examination of the organizational structure of a firm or its division, its plans and objectives, its means of operation and its use of resources	

SECTION B (40 MARKS)

Answer **all** questions in this section

3. The financial year of Afrique Limited ends on Dec, 31st each year. They bought two motor vans: the first on Jan 11 for TZS 18,000,000 and the second for TZS 15,000,000 on 1st October 2011. They also bought another van in July 2012 for TZS 19,000,000. It is a company's policy to charge depreciation at 10% per annum using a straight-line method for each month of ownership basis.

Required:

(a) Motor van account for the years (2011 to 2023)
(b) Accumulated provision for depreciation account.

4. Draw up a bank reconciliation statement, after writing the cash book up to date, ascertaining the balance on the bank statement from the following as of 31st March 2019:
   - ✓ Cash at the bank as per the bank column of the cash book (Dr) TZS 27,400
   - ✓ Banking made but not yet entered in the bank statement TZS 4,100
   - ✓ Bank charges on bank statement but not yet in cash book TZS 320
   - ✓ Unpresented cheque: (Mr. Simba TZS 1,310)
   - ✓ Standing order to Mr Kiboko entered on the bank statement but not in cash book TZS 980
   - ✓ Credit transfer from Machinga group entered on bank statement, but not yet in cash book TZS 2010

5. Draw up a profit and loss appropriation statement and the partner's current account for the year ending 31st December 2005 from the following information:

(i) Net profit TZS 184,800

(ii) Interest to be charged on capitals
- Milembe TZS 3,600
- Madete TZS 2,700
- Minza TZS 2,100

(iii) Interest to be charged on drawings:
- Milembe TZS 1200
- Madete TZS 900
- Minza TZS 500

(iv) Salary to be credited:
- Madete TZS 22,000
- Minza TZS 28,000

(v) Profit to be shared:
- Milembe TZS 55%
- Madete TZS 25%
- Minza TZS 20%

(vi) Current accounts:
- Milembe TZS 18,000 Credit
- Madete TZS 8,000 Credit
- Minza TZS 6,000 Credit

(vii) Drawings:
- Milembe TZS 27,000
- Madete TZS 23,000
- Minza TZS 17,000

6. Briefly explain each of the following terms as applied in consignment accounts:
   (i) Del credere commission
   (ii) Consignee
   (iii) Bill of exchange
   (iv) Consignor
   (v) Account sales

SECTION C (45 MARKS)

Answer **all** questions in this section

7. Hassan, a sole trader, extracted a trial balance from his ledger on 31st December 2015. The trial balance totals were TZS 23,884 (Dr) and TZS 49,984 (Cr). He placed the difference in a suspense account so that he could prepare a draft of an income statement for the year ended 31st December 2020 and a statement of financial position as of that date. The following errors were then discovered:
   (i) The total purchases day book had been undercast by TZS 10,000
   (ii) A cheque received from Maimuna TZS 3,900 had been debited in the cash book but the double entry had not been completed.
   (iii) TZS 7,600 for motor repairs had been taken to the motor van account.
   (iv) The return outward book had been overcast by TZS 5,000.

(v) A sale of TZS 4,000 to Daima had been entered in the purchases book.

(vi) A purchase of office equipment from Mikocheni Traders for TZS 3,500 had been entered in the purchase's day book as TZS 5,300.

(vii) Goods returned by Nasra TZS 7,500 have been entered in the returns outward book, however, Nasra's account is correctly posted.

Required:

(a) Show journal entries to correct the above errors.

(b) Show the suspense account, off-setting the difference in the trial balance.

(c) Show a statement of corrected net profit for the year ended 31st December 2020 if the reported net profit before the above errors discovered was TZS 8,400.

8. The following is the receipts and payment accounts of a charitable hospital for the year ending 31st March 2018.

RECEIPTS	TZS	PAYMENTS	TZS
Balance b/f:			
Cash in hand …….	5,000	Medicines ……	150,000
Cash at bank ……	30,000	Honorarium to doctors ……	50,000
Subscriptions ……	250,000	Salaries ……	137,500
Donations …….	72,500	Sundry expenses ……..	2,500
Interest for a full year on investment		Equipment purchased ……..	75,000
@ 7% per annum …….	35,000	Charity show expenses ……	5,000
Charity show receipts ……...	50,000	Balance c/f:	
		Cash in hand …….	2,500
		Cash at bank …….	20,000
	442,500		442,500

Additional information:

	On 31/03/2017 (TZS)	On 31/03/2018 (TZS)
✓ Subscription outstanding ……	2,500	5,000
✓ Subscription received in advance	5,000	2,500
✓ Stock of medicines	50,000	75,000
✓ Amount due to suppliers of medicines	40,000	60,000
✓ Value of equipment	105,000	150,000
✓ Value of buildings	200,000	190,000

Required:

Prepare income and expenditure statement for the year ended 31st March 2018 and the statement of financial positions as of that date.

9. Dotto has kept records of his business transactions in a single-entry form but he did not realize that he had to record cash drawings. His bank account for the year 2018 was as follows:

Details	Amount	Details	Amount
Balance b/d	920,000	Cash withdrawn	12,600,000
Receipts from debtors	94,200,000	Trade creditors	63,400,000
Loan from bank	2,500,000	Rent	3,200,000
		Insurance	1,900,000
		Drawings	11,400,000
		Sundry expenses	820,000
		Balance c/d	4,300,000
	97,620,000		**97,620,000**
Balance b/d	4,300,000		

Records of cash paid were:

Sundry expenses	TZS	180,000
Trade creditors	TZS	1,310,000
Cash sales amounted to	TZS	1,540,000

The following information is also available:

	31/12/2017 **(TZS)**	31/12/2018 **(TZS)**
Cash in hand	194,000	272,000
Trade creditors	7,300,000	8,100,000
Debtors	9,200,000	11,400,000
Rent owing	-	360,000
Insurance paid in advance	340,000	400,000
Motor van (at valuation)	5,500,000	4,600,000
Stock	24,200,000	27,100,000

You are required to prepare an income statement for the year ended 31st December 2018 and a statement of financial position as of that date.

Note: (Show all your workings)